From Vision to Impact

Microschool Loan Pilot: Results & Roadmap

What we learned, and how we build permanence together

Building Hope Microloan Program in partnership with Stand Together Trust and Beth & Ravenel Curry Foundation

Where We Started: Our Hypotheses

1

Founders need and want access to capital

WE CONFIRMED: 258 schools with $0 marketing spend expressed interest in the loan product over a 4 week window. However, only 20% could meet our lending standards without support, highlighting a significant access gap. 35% of applicants were already managing debt with 15% on track to insolvency with persistent significant annual losses.

2

Facility challenges are a major barrier

WE CONFIRMED: An affordable e-occupancy facility remains the number one barrier for private schools and programs required to be in education use space. Nearly half of our borrowers are leasing from a church, while less than 1/3 of our applicants indicated they are in church space. Traditional NNN commercial leases are financially challenging for schools with enrollment <60.

3

Underwriting can't be that hard for microloans

WE CONFIRMED: We have been humbled. While we agree that initial screening can be systematized, understanding the sustainable health of early stage businesses with various governance structures and multiple tuition programs across disparate systems is time consuming and impossible to scale without standardization.

Why Building Hope?

This pilot required a unique combination of capabilities:

- **Lending Expertise**

  Building Hope has an in house CDFI with existing lending operations, a legal framework for unsecured credit, an accounting team familiar with audit requirements for lending.

- **Facilities Expertise**

  Deep experience qualifying schools against a set criteria to assess viability and project feasibility

- **Open to Innovation**

  Commitment to lean into the unknown and build a program whole cloth, informed with lending expertise and fueled with fintech integrations.

- **Servicing**

  Lending doesn't end at the loan closing. The time between the closing and the loan maturity date requires quarterly engagement and management of outlined covenants.

Proof → Patterns → Possibility

PROOF

9 minutes

What we built and market context

- The capital desert for early-stage schools
- Our unprecedented loan product
- The lending landscape comparison

PATTERNS

15 minutes

Who applied and what we learned

- Application funnel results
- Four Pillars of School Readiness
- Operational insights and fixes

POSSIBILITY

15 minutes

Founder voices and future infrastructure

- Borrower spotlights
- SchoolStack: The Operational Health OS
- The Lending Lab
- Partnership invitation

We'll close with time for your questions and conversations about partnership.

The Lending Landscape: What Founders Face

Here's the baseline reality for founders outside our pilot:

Lender Type	Interest Rate	Timeline	Personal Guarantee	Approval	Year 0-1 Access
SBA Microloan	Prime + 3% (10%)	10-90 days	✓ Yes	50%	Sometimes
CDFIs	7-12%+	10-14 weeks	Usually	30%	Rarely
Bank Small Business	Market rate	30-60+ days	✓ Yes	20-30%	Almost never
Kiva	0%	Staged crowdfunding	✗ No	100%	Yes
Microloan Pilot	**3% fixed**	**7-30 days**	**✗ No**	**20%**	**✓ Yes**

When we offered 3% fixed, unsecured, no personal guarantee, we weren't just nicer.
We built access in a market that does not exist for these founders.

What We Built: A Remarkable Product

3% FIXED RATE

Unsecured | $5K-$50K

Zero Fees

No origination charges. No prepayment penalties. If a school gets an ESA disbursement early and wants to pay us off, we celebrate that.

Phased Repayment

Y1: Interest-only while enrollment stabilizes
Y2: Graduated payments as revenue grows
Y3: Full amortization with operating history

Tech Forward

Plaid banking verification, ACH auto-debit servicing, transparent initial eligibility checklist

Fast Decisions

1-4 week underwriting with clear feedback. Swift with most declines, nearly every yes took longer.

Who Applied & Who Moved Forward

258

Submitted Interest Forms

From 36 states across the country

54

Complete Applications

From 21 states where operational readiness became visible

11

Loans Funded (20%)

Across 8 states, totaling **$410,000**, and impacting **600 students**

Raw applicant pool (passion ≠ preparation)

Why 11 Loans Is Actually Remarkable

Here's why our loans are a breakthrough:

Market-Grade Discipline

A 20% approval rate for an unsecured loan demonstrates rigor; including year 0 schools also shows risk.

$410K in New Access

Capital was provided where zero existed before, unlocking potential for microschools.

570+ Students Served

Reaching communities previously underserved and lacking quality educational options.

Scalable Insights

Crucial lessons learned will enable founders to grow from 11 to 110 schools sustainably.

What applicants told us: *"Thank you—why hasn't anyone told me this before?"*

The Gap: SBA deployed $320M in 2024 to support all their loan readiness programs to coach up businesses before applying. Microschool founders hit our application as their first exposure to these requirements. **Our unsecured loans illuminated that readiness is collateral.**

Four Pillars of School Readiness

Our key insight: When four pillars are strong, underwriting advances. When one is weak, the entire structure shakes.

Affordable Facility

Safe, affordable, accessible, well-maintained buildings

Financial Health

Sustainable budgets and funding stability; on time rent payment; 45-90 days CoH; Cash flow mgmt

Operational Health

Clear systems and processes for all back office functions: banking, tuition processing, payroll, insurance, business registration

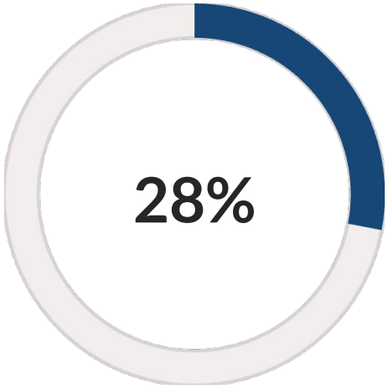
Demand

Student recruitment, retention, and capacity utilization as the fundamental revenue driver.

These four interconnected pillars are essential for loan readiness. For non-profit schools, governance is a fifth pillar.

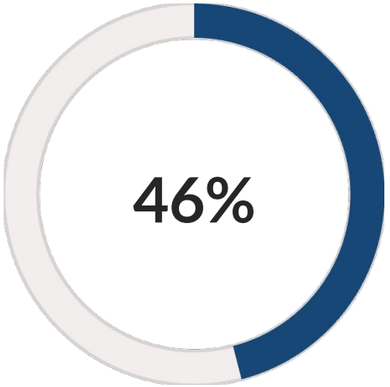
Facilities: From Dreams to Durable Spaces

Real estate often makes or breaks a microschool



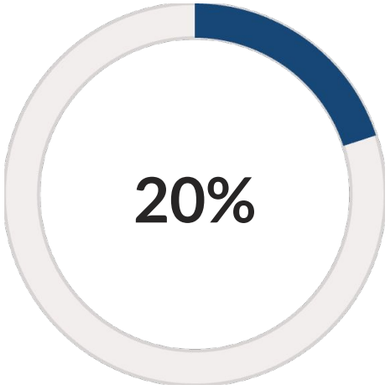
In Church Facilities

Overall applicant pool



Of Approved Loans

Located at church facilities



Applicants without finalized locations

What We Found

- Church leases far below market rate and typically just one year terms for early stage programs. This likely also led to more faith based program showing a greater likelihood of achieving sustainability.
- Founders didn't understand risk buried in NNN lease terms

Proposed Solutions

Lease modeling tools

Plug in base rent, escalations, CAM fees—see what facility costs look like in years 2, 3, 4, 5 before you sign

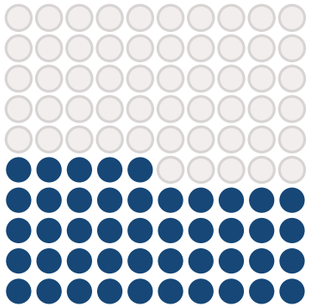
AI Lease Analyzer

We propose building a tool that leaders can use to compare leases and most importantly, pull out the base rent, escalations, CAMs, insurance requirement and CapEx budget needs to accurately forecast impact on operations.

Lease guarantee product

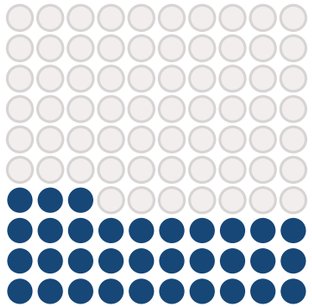
Patient low interest capital that backs 25-50% of the lease as a guarantee sharing risk with the school founder.

Financial Health: Where Passion Met Practice



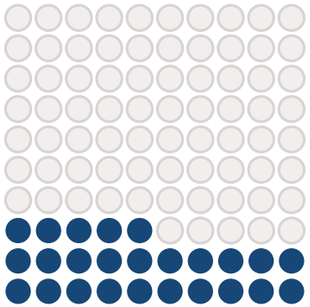
45%

Existing Debt



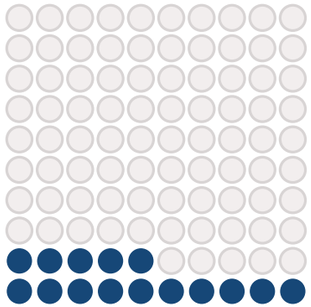
33%

Philanthropy-Dependent (20%+ annually)



25%

No Founder Salary



15%

No Formal Tuition Contract

The gap between passion and practice showed up most clearly here.

Founders weren't trying to hide things—many simply didn't understand what lenders need to see, or had framed their finances in ways that made sense to them but not to underwriting.

Governance: Quiet Acts of Stewardship

Governance isn't bureaucracy—it's stewardship

What We Learned

❌ 1-3 person boards with related parties (spouse, sibling, parent, employees)

❌ Missing conflict-of-interest policies

❌ No meeting minutes or established cadence

The Fix

✓ Bylaws and meeting minute templates with conflict of interest and signatory privileges best practices

✓ Conflict-of-interest policy templates

✓ Financial control resources

When every board member has a personal or financial stake tied to the founder, there's no independence. No one to ask hard questions when decisions get tough.

The Path to Sustainability

Breaking even isn't enough

Sustainable schools know three numbers:

Monthly Breakeven

The exact revenue needed to cover all costs—not a guess, the actual number

Target Margin

Budget for 10-15% above breakeven—your cushion for surprises and fuel for growth or reserves

Per-Student Revenue Needed

Breakeven ÷ enrollment = minimum tuition requirement

> "We need $22,000/month to operate (22 students at $1,000 each), but we're targeting $26,000 to build reserves (26 students)."
>
> **Track it monthly.** Sustainability is about consistently generating margin that lets schools weather storms and grow.

Our Borrower Portfolio

11 Schools | 8 States | 570+ Students | Infinite Possibility

1	**Enrollment** From intimate settings of 11 students to larger communities of 100, with an average of 52 students per school.
2	**Growth Stage** A mix of new launches (3 in August 2025), established schools (6 from 2021-2023), and those in their critical growth phase (2 from 2024-2025).
3	**Diverse Programs** Including project-based learning, faith-integrated, entrepreneurship, arts integration, neurodiverse affirming, Montessori, and Socratic methods.
4	**Settings** Operating in traditional community centers, church facilities, and co-working spaces.
5	**Geography** Serving urban centers, mid-size cities, and smaller towns across 8 states.

This is the beautiful diversity of microschooling in America: community-rooted, deeply personalized, and built with tremendous care. These are the pioneers we're building for.

primer
Huntsville & Liberty City

Kingdom Academy
Est. 2023

THE FERGUSON SCHOOL
HELPING OUR STUDENTS NAVIGATE THE WORLD

Path Of Life Learning

TCWA
THE CONSERVATORY OF WORSHIP ARTS
IOWA'S MONTESSORI SCHOOL

EMPIGO ACADEMY
ZEALOTS
RADICALLY IMPACTING

Limestone
COMMUNITY SCHOOL

F.I.V.E
FUTURE INNOVATORS VENTURING ENTREPRENEURSHIP

RICHMOND PRIMARY SCHOOL
PATHFINDERS

ACTON
ACADEMY
BLUE RIDGE

Founder Stories

Five Microschool

Founder: Dr. Angela Wallace

Meraux, Louisiana

Partner Program: KaiPod Learning

When Dr. Angela Wallace envisioned opening Five Microschool in Meraux, Louisiana, in August 2025, she knew the loan would be critical. It represented the difference between opening on time, going into debt with credit card cash advances, or having to delay a full year, impacting 17 families eager for a new educational path.

The microloan helped us start strong in our first year! STEM NOLA was here last week and did all sorts of fun educational activities for kids who wouldn't typically get access to this kind of programming.

The Conservatory of Worship Arts

Founder: Anna Johnson

Ankeney, Iowa

Partner Program: Drexel Fund

Twenty minutes north of Des Moines, 100 students and their families had historically faced a lack of educational options, with traditional public schools being their only choice. TCWA opened its doors to provide a much-needed alternative, and is the first K12 Montessori program in Iowa.

It's a big job to create a culture of a brand new school, we are so thankful to have amazing mentors helping us as we truly are doing things differently with the culture of our learning environment. So thankful for this loan to help us this year!

Looking Ahead

Better Preparation Resources

Publishing "how to get loan-ready" guidance and loan-ready questionnaires before applications opened could have reduced deferrals by addressing fixable gaps proactively.

More Transparent Deferral Data

Sharing anonymized deferral reasons publicly sooner would have helped other founders learn from common pitfalls and improve their readiness or pause applying.

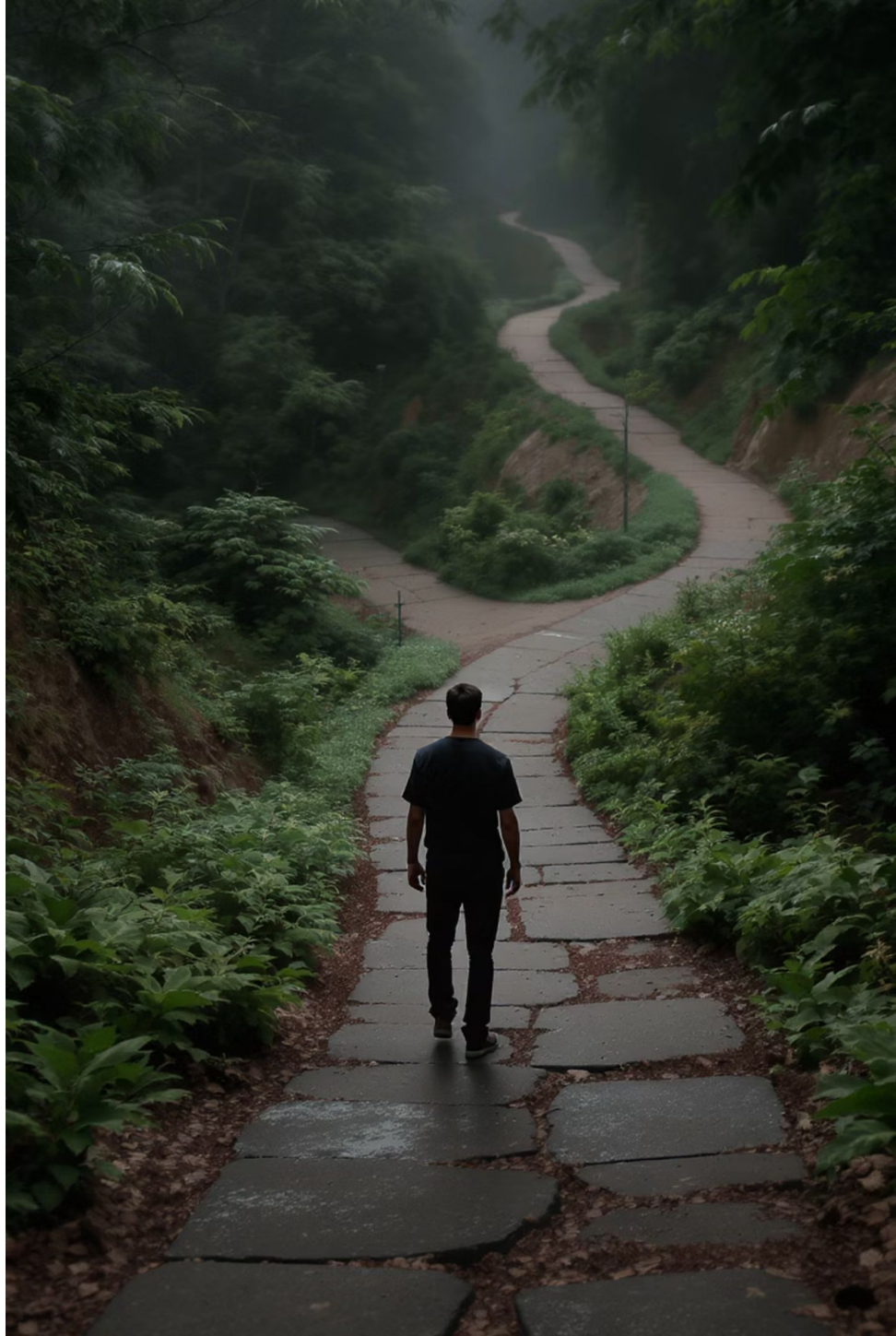
Extend Underwriting Window

We underestimated the amount of Some funders expected 30-40 loans in 6 months, an unrealistic pace given our due diligence.

Shared Risk

Unlocking catalytic capital pathways through credit unions, existing SBA partners, or CDFI opportunities, requires us to rethink risk. Lending is rooted in shared risk as a partnership. Future loan funds will require guarantees or collateral to de-risk loans and show the seriousness of our borrowers and the sector.

We're learning in public. If you see something we're missing, tell us.



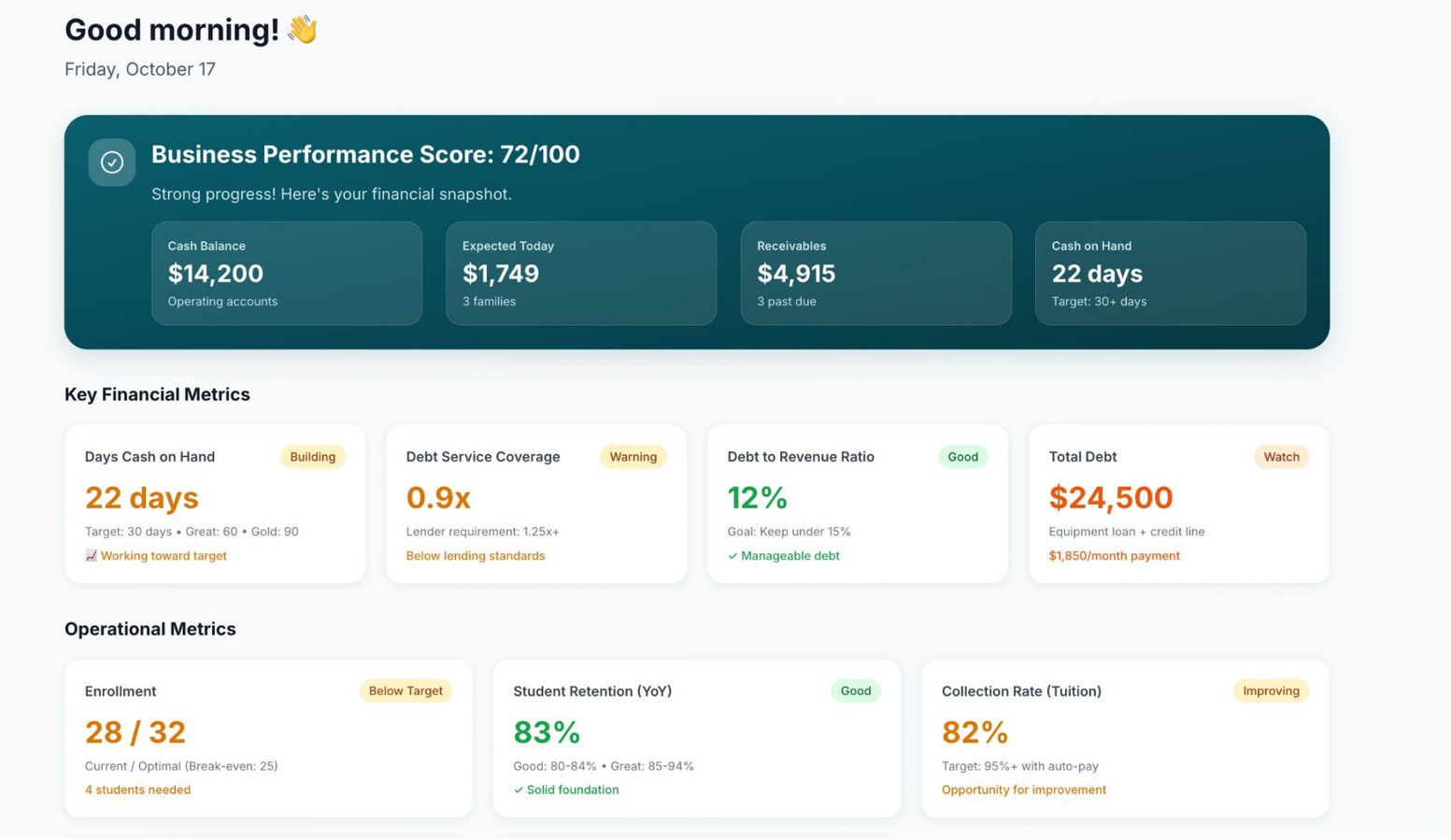
Possibility.

SchoolStack: The Operational Health OS

Business Performance Score

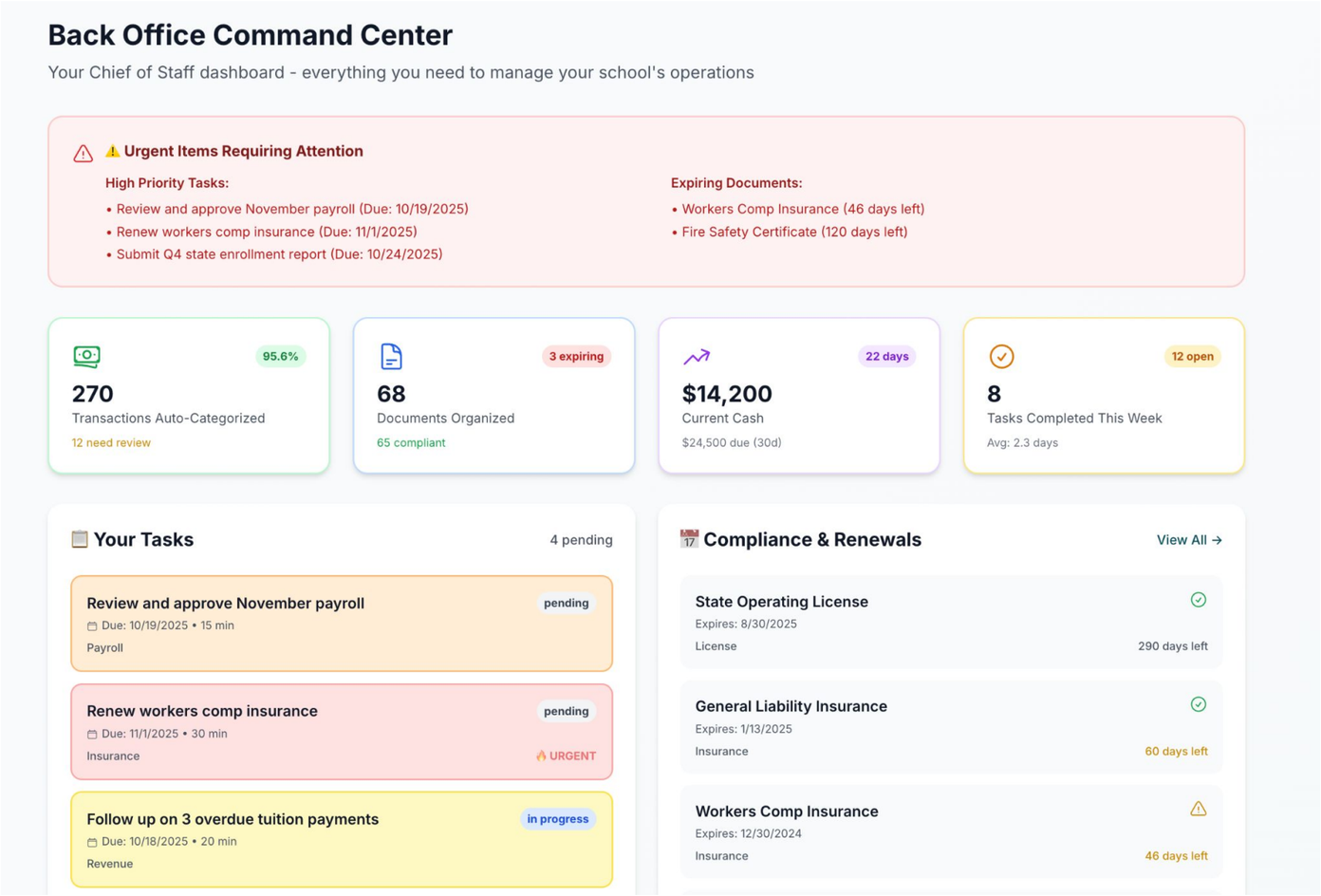
One powerful number that encapsulates your school's financial health, operational efficiency, and overall stability.

It's designed to be intuitive, showing founders exactly where they stand and where they need to focus their attention.



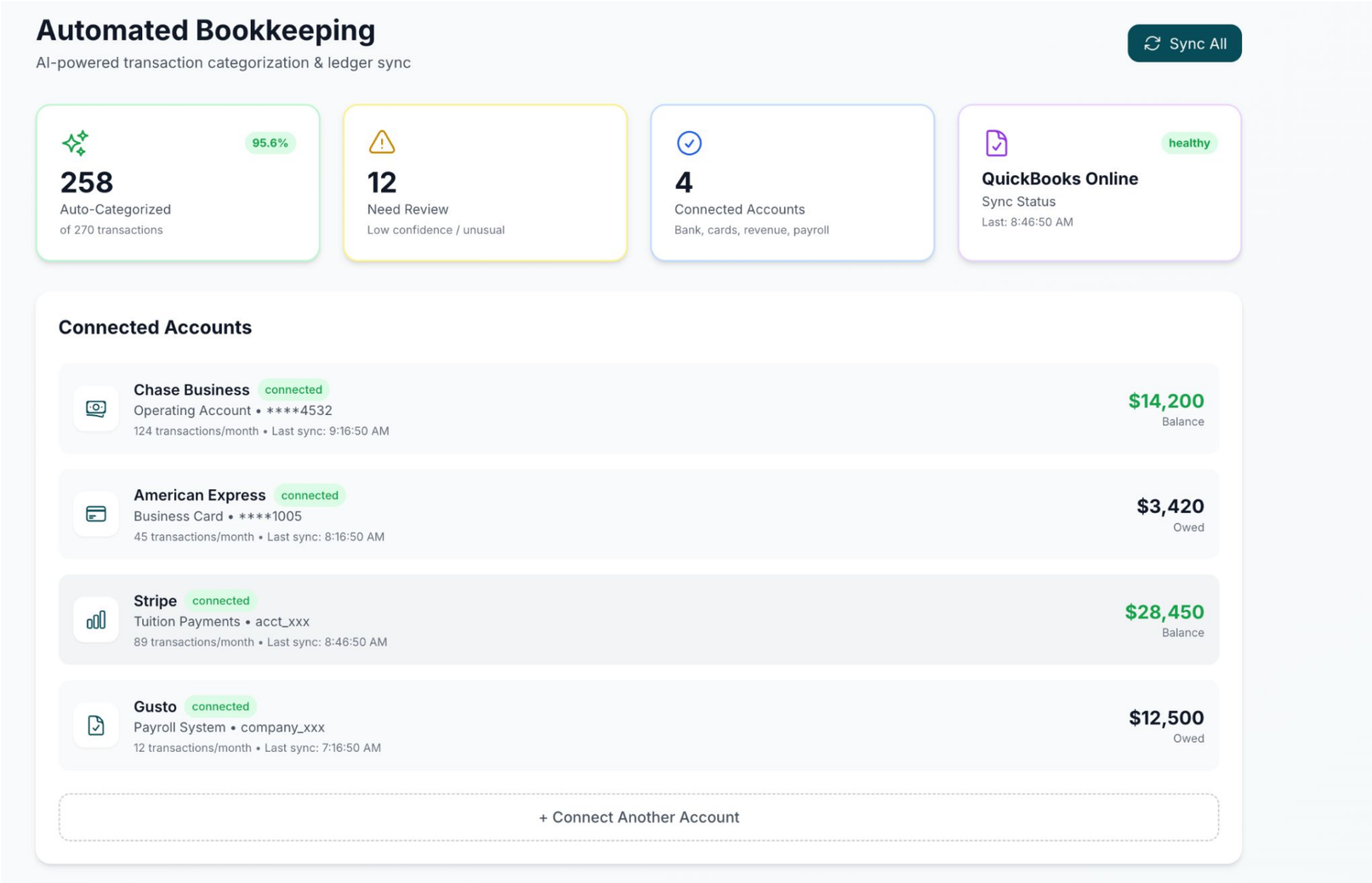
Back Office Command Center

A daily operations dashboard.
Everything that needs attention, right now. It will surface urgent items, manage tasks, and ensure no critical operational detail is missed, empowering school leaders to stay on top of their day-to-day.



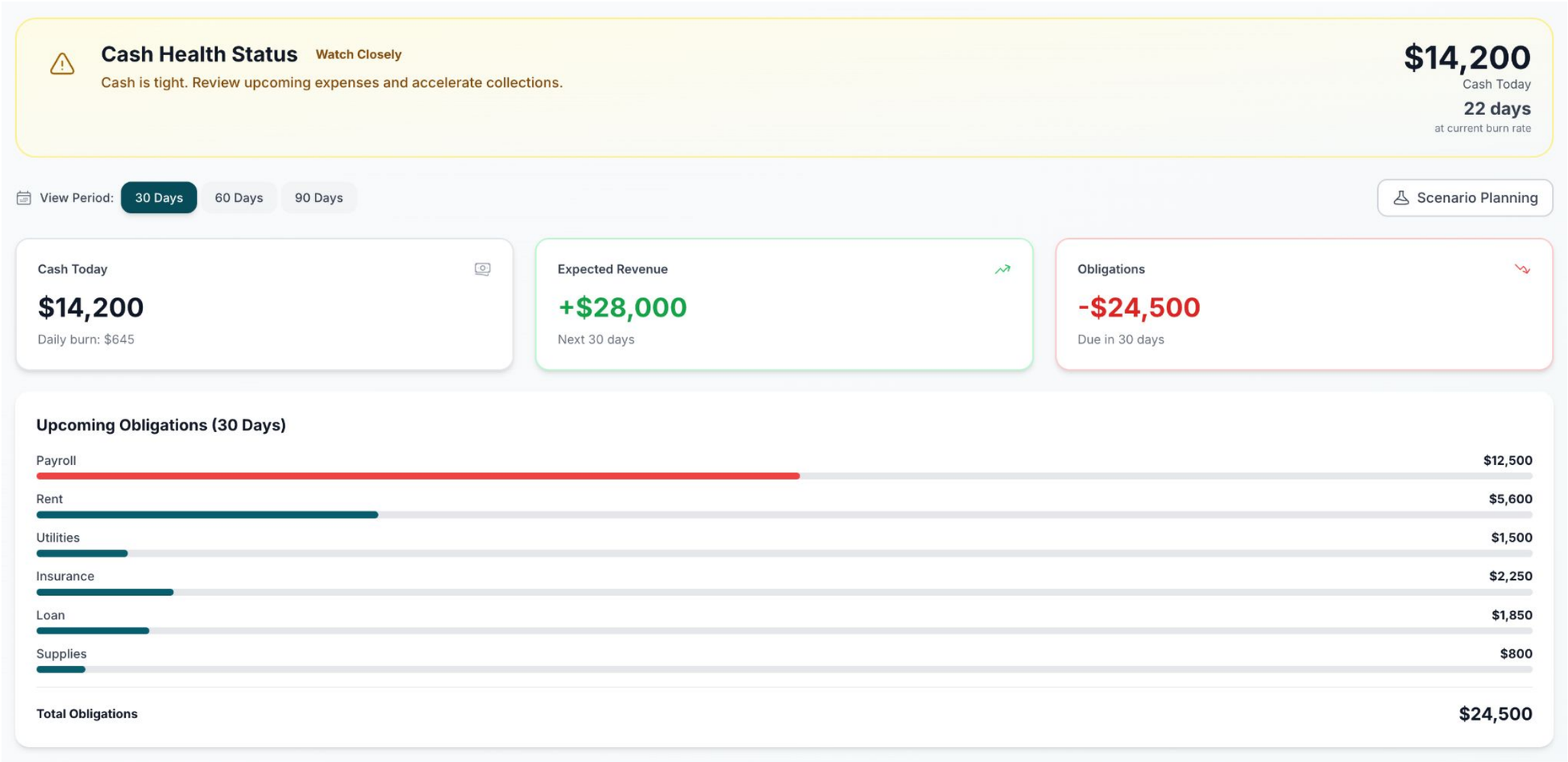
Automated Bookkeeping

The system will sync with school financial accounts and multiple tuition revenue streams through APIs or uploaded reports via csv, automating transaction categorization and reconciliation.



Cash Health Status

Never wonder "Can we make payroll?" Schools can see their cash runway in real time, visualize upcoming obligations, and forecast financial stability. This proactive view ensures leaders can plan confidently and maintain successful operations.



The Lending Lab: R&D for Financial Products

Banks won't prototype these tools + we can pressure test our software signals.

1

Lease Guarantee Product

Remove personal guarantee barrier—patient capital backs the lease instead of putting founder's home at risk

2

ESA Bridge Loans

Address 60-90 day timing gap between enrollment and state disbursement so schools can make payroll

3

Lines of Credit

Flexible working capital for seasonal cash flow cycles—families pay tuition in fall, but summer is lean

4

Expanded Working Capital

Growth funding for schools with proven operations (Years 2-3) for facilities expansion or program development

Goal: Raise $500K to expand fund and R&D infrastructure

This is a meticulous, transparent R&D process. We test, we measure, we publish what works, and we share the playbooks openly.

This isn't just about our portfolio—it's about building products other mission lenders can replicate to serve their own microschool communities.

Two Year Build Plan: $2.1M

From Prototype to Platform: The Build Timeline

1 PHASE 1: MVP Development

9 months | Q1-Q3 2026

- Goal: Production-ready platform with core operational health modules
- Q1: Foundation build (database, integrations, Business Performance Score)
- Q2: Core modules (Revenue, Banking, Debt, Enrollment)
- Q3: Intelligence layer + Alpha testing with 11 current borrowers

2 PHASE 2: Beta Testing

Q4 2026

- Goal: Validate product-market fit, harden platform
- Expand to 30 users
- Add Bookkeeping module + Lender Dashboard
- Security audit (SOC 2 Type I prep)
- Success metrics: 80%+ DAU, 50% time savings

3 PHASE 3: Go-to-Market

2027

- Goal: Scale to next loan program
- Q1: Onboard 30-50 subscribers
- Q2: Pilot with 1-2 lending/philanthropy partners
- Q3-Q4: Target 75-100 subscribers
- Build new features, pre-qualify strong operators for capital products

Not fast enough to burn capital recklessly. Not so slow the market moves past us. Disciplined, phased, and de-risked at every stage.

How Your Team Can Engage

1 Encourage schools to join our mailing list

2 Recommend schools for our beta test

3 Trust but verify. Before you encourage a school to pursue a loan, ask to see their current P&L and cash flow report. Make financial health queries normal.

> We need to be the solution we seek to help microschool leaders launch and build sustainable businesses.

Let's Build Together

Thank you for your partnership in this work.

Access Resources

Slide deck and summary notes will be emailed by end of day.

Let’s Keep the Conversation Going

aserafin@bhope.org

Appendix

Why Community Development Financial Institutions (CDFIs) Struggle to Fund Private Microschools

It's not mission—it's compliance

The Documentation Challenge

CDFIs must meet **Target Market tests** annually—at least 60% of loans must reach documented low-income geographies or designated populations.

✓ **Charter schools:** Easy to document (FRL data reported)

✓ **Childcare:** Easy to document (subsidy program participation)

✗ **Private microschools:** Hard to document (no FRL tracking)

If a private microschool doesn't collect free/reduced lunch data, or if the data is below the 60% target, the CDFI risks re-accreditation, unless the school is in a qualifying census tract.

Many mission lenders are hesitant to risk their accreditation in a new, undocumented market.

CDFIs also require collateral or a guarantee to secure the loan to support their audit and ensure they maintain strong credit.

Result: This creates a financing gap right where microschools live, serving ESA families and private-pay families with no standardized income documentation.

Beyond CDFIs: Vital Resources for For-Profit Microschools

For-profit microschools, while facing unique challenges with traditional lending, have powerful allies in the small business ecosystem. Leveraging these resources can provide critical support for growth and sustainability.

Small Business Development Centers (SBDCs)

SBDCs offer comprehensive counseling and training, crucial for startups and expanding businesses. Their expertise spans:

- Accessing capital (including working with SBA programs).
- Developing robust business plans and strategies.
- Optimizing operations and financial management.
- Marketing, personnel, and sales development.

SCORE Mentors

SCORE connects entrepreneurs with experienced volunteer mentors, providing invaluable, free advice. Their offerings include:

- Area-specific guidance on financing, HR, and business planning.
- Ongoing support via email, telephone, and video.
- Access to a wide range of training, webinars, and online workshops.

Microschools should actively **lean into their regional SBDCs** and build relationships with **microlenders** in their communities, and utilize the SBA Lender Match tool.

The Pioneer Cohort: Who They Are

From innovative learning models to diverse geographies, these 11 schools showcase the rich tapestry of microschooling across the U.S.

School	Location & Grades	Students	Key Focus	Opened
Primer Huntsville	Huntsville, AL | K-8	50	Personalized project-based learning	2025
Kingdom Academy	Kingman, AZ | K-12	75	SEL + faith-based	2023
Primer Liberty City	Miami, FL | K-8	100	Personalized project-based learning	2022
The Ferguson School	Decatur, GA | K-5	25	Faith-based, culturally inclusive, neurodiverse affirming	2021
The Conservatory of Worship Arts	Ankeny, IA | PK-12	100	Montessori faith-based arts	2024
Empigo Academy	Des Moines, IA | 9-12	17	Faith-based AI/entrepreneurship	2024
Limestone Community School	Lawrence, KS | PK-8	70	Project & nature-based, neurodiverse affirming	2022
FIVE Micro School	Meraux, LA | K-8	17	Entrepreneurship-focused	2025
Acton Academy Blue Ridge	Staunton, VA | PK-8	11	Socratic discovery & project-based	2025
Path of Life Learning	Yorktown, VA | PK-8	70	Faith-based homeschool co-op	2023
Richmond Primary School	Richmond, VA | PK-5	55	Arts integration, STEM, SEL	2021